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NATURE OF PROCEEDINGS: Hearing on Motion to Compel

Arbitration

The Motion to Compel Arbitration is granted. The action is stayed as to Sunlight Financial LLC pending arbitration.

BACKGROUND

Plaintiffs Maritza Guevara and Joel Urbina (Plaintiffs)

filed this action against All Premium Contractors Inc. (All Premium), Cross River Bank (CRB), Hudson Insurance Company (Hudson), and Sunlight Financial LLC (Sunlight), alleging that they purchased a residential solar energy system that was never completed and financed it through a loan carrying undisclosed dealer fees.

The causes of action in the Second Amended Complaint (SAC) are: (1) Civil Code Section 1632; (2) Breach of Implied Warranty of Merchantability; (3) Breach of Implied Warranty of Fitness; (4) Fraud; (5) Consumer Legal Remedies Act; (6) Unfair Competition Law; and (7) Business and Professions Code Section 7071.5.

Sunlight filed a Motion to Compel Arbitration. Plaintiffs filed an Opposition.

On February 19, 2025, the Court granted CRB's Motion to Compel Arbitration of the claims then alleged against it. Plaintiffs thereafter added Sunlight by amendment and filed the SAC. On March 20, 2026, the Court denied Plaintiffs' Motion to Vacate the order compelling arbitration. Default

was entered against All Premium on January 21, 2026.

LEGAL STANDARD

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists....” (Code Civ. Proc., § 1281.2.) “The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 (Pinnacle).)

Courts apply a three-step process. The moving party first bears the burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413 (Rosenthal).) It meets that burden by attaching a copy of the agreement purporting to bear the opposing party’s signature, and at that step “it is not necessary to follow the normal procedures of document authentication.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165 (Gamboa).) If the opposing party disputes the agreement, that party bears the burden of producing evidence challenging its authenticity, and if it does so, the moving party must establish a valid agreement with admissible evidence. (Ibid.)

Where a defense to enforcement is raised, the party raising it “bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.” (Rosenthal, *supra*, 14 Cal.4th at p. 413.) The court sits as the trier of fact on these questions and decides them in the manner provided for the hearing of motions. (Id. at pp. 413-414.)

ANALYSIS

The Arbitration Provision states that it is governed by the Federal Arbitration Act, and no party contends otherwise. (Carpenter Decl., Ex. 2, at p. 14, subd. (i).) In assessing the defenses Plaintiffs raise, the Court applies the general California law of contracts. (Rosenthal, *supra*, 14

Cal.4th at p. 419.)

I. Formation

A. Signature Authenticity

Plaintiffs argue that Sunlight has not proved the existence of a valid arbitration agreement because the only supporting declaration comes from a witness with no personal knowledge of the transaction, the representations made to Plaintiffs, or the execution of the documents. (Opp., at p. 10:11-17.)

Sunlight provides a copy of the Solar Energy System Long-Term Loan Agreement and Promissory Note (the Loan Agreement) bearing Plaintiffs' electronic signatures, together with the DocuSign Certificate of Completion for the envelope in which it was transmitted. (Carpenter Decl., ¶¶ 15, 17, Exs. 2, 3.) That satisfies the first step. (Gamboa, supra, 72 Cal.App.5th at p. 165.) The burden then shifts to Plaintiffs to produce evidence challenging the authenticity of the signatures. (Ibid.) Evidence consistent with the signatures being genuine does not challenge them.

Here, Plaintiffs' declarations confirm a signing. Each Plaintiff declares that the salesperson came to their home on August 5, 2021, presented documents on his electronic tablet as the financing for the system, and had them sign with a finger. (Guevara Decl., ¶¶ 2-3; Urbina Decl., ¶¶ 2-3.) Neither declaration states that the document Sunlight offers is not the document its declarant signed. Neither states that its declarant does not recall signing it. Neither states that its declarant would not have signed a document containing an arbitration provision, or would have refused had the provision been pointed out. Both declarations state that Plaintiffs received no copy and no Spanish translation when they signed, that they saw the Loan Agreement for the first time weeks later or in this litigation, and that they cannot say whether it is one of the documents they signed. (Guevara Decl., ¶ 6; Urbina Decl., ¶ 6.)

By their own testimony, Plaintiffs signed documents presented to them as financing paperwork, and they could not identify those documents afterward because they were never given a copy. What they describe is consistent with the signatures on the Loan Agreement being genuine.

Plaintiffs' remaining evidence concerns

forgery. They declare that they signed on one occasion, at one time and place, and that it was the only time they signed anything for the System. (Guevara Decl., ¶ 3; Urbina Decl., ¶ 3.) They argue that the DocuSign records for the Loan Agreement and the Home Improvement Contracts show different Internet Protocol addresses, that a single signing session would have produced a single address, and that one of the two documents was therefore signed somewhere else by someone else. (Opp., at p. 10:24 - p. 11:5.)

The argument depends on a premise Plaintiffs

have not supported. It assumes that one device, used continuously at one place, reports the same internet protocol address throughout, so that a change in the address establishes a change in location. Plaintiffs offer no declaration and no expert opinion on how the address recorded by the DocuSign platform is assigned, whether it can change during a session, or what would cause it to change. An inference resting on an unsupported premise about the behavior of the recording system is not evidence challenging the authenticity of a signature.

Plaintiffs also point to a discrepancy

between Carpenter's description of the DocuSign signing process and their own account, arguing that it shows he lacks personal knowledge of what occurred. (Opp., at p. 10:18-23.) Carpenter describes a platform that lets a borrower choose a handwriting font from a list, create an electronic signature, or upload a facsimile. (Carpenter Decl., ¶ 8.) Plaintiffs declare that they drew a signature with a finger. (Guevara Decl., ¶ 3; Urbina Decl., ¶ 3.) Carpenter does not claim to have been present at the signing, and the Court does not treat his declaration as evidence of what happened at Plaintiffs' home. The discrepancy concerns the form a signature took on a screen. It identifies no signer other than Plaintiffs. A challenge to authenticity requires evidence that someone else signed.

Plaintiffs have not produced evidence challenging the

authenticity of their signatures, so the burden does not return to Sunlight. Sunlight's prima facie showing establishes a written agreement to arbitrate. The circumstances Plaintiffs describe bear on the enforceability of the Arbitration Provision, and the Court addresses them below.

B. Fraud in the Execution

Plaintiffs argue that the Loan Agreement is void for fraud

in its execution because the nature and source of the transaction were concealed from them, because they were never told that Sunlight set the system's price and predetermined the lender, and because one of the two contracts was forged. (Opp., at p. 12:22 - p. 13:18.)

Claims of fraud in the execution of the entire agreement are not arbitrable under state or federal law, because a contract void ab initio contains no agreement to arbitrate anything. (Rosenthal, supra, 14 Cal.4th at p. 416.) California distinguishes fraud in the execution from fraud in the inducement. In the former, “the fraud goes to the inception or execution of the agreement, so that the promisor is deceived as to the nature of his act, and actually does not know what he is signing, or does not intend to enter into a contract at all, mutual assent is lacking, and [the contract] is void.” (Rosenthal, supra, 14 Cal.4th at p. 415.) In the latter, “the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.” (Ibid.) The party seeking to void a contract must show that its apparent assent “is negated by fraud so fundamental that they were deceived as to the basic character of the documents they signed and had no reasonable opportunity to learn the truth.” (Id. at p. 425.)

Here, the deception element fails. The salesperson told Plaintiffs that the documents were for financing. (Guevara Decl., ¶ 3; Urbina Decl., ¶ 3.) This matches the loan agreement and a promissory note, which Plaintiffs allege were the financing instruments they entered into with CRB that day to pay for the system. (Carpenter Decl., Ex. 2; SAC, ¶ 17.) A statement that describes the writing accurately is not a misrepresentation of its character, and fraud in the execution requires a misrepresentation as to the character or essential terms of the writing. (Rosenthal, supra, 14 Cal.4th at p. 423.) Nor does silence about the arbitration clause supply the deception. In Rosenthal, the declarations established “no actual concealment ... of the arbitration clause, or any affirmative misrepresentations regarding the existence or meaning of an arbitration clause.” The Supreme Court held the showing insufficient. (Id. at p. 426.) Plaintiffs’ declarations state that the salesperson said nothing about arbitration. (Guevara Decl., ¶ 5; Urbina Decl., ¶ 5.)

The concealment Plaintiffs do describe concerns the price of the system, the dealer fees added to the amount financed, and the relationships among Sunlight, CRB, and All Premium. (Guevara Decl., ¶ 4; Urbina Decl., ¶ 4;

SAC, ¶¶ 19-21.) Misrepresentation of that kind induces consent to a contract the signer understands, and the contract it produces is voidable through rescission. (Rosenthal, supra, 14 Cal.4th at p. 415.)

The forgery theory depends on the differing internet protocol addresses discussed above, which show nothing about who signed. Plaintiffs have not shown fraud in the execution.

II. Enforcement by Sunlight

Sunlight did not sign the Loan Agreement but argues that the Arbitration Provision designates it as a Related Party entitled to demand that the claims against it be arbitrated. (Mot., at p. 13:5-17.) Plaintiffs do not dispute that Sunlight may enforce the Provision if one exists.

A third party may enforce a contract made for its benefit, and whether the contracting parties intended that benefit is determined from the contract's express provisions and the circumstances under which it was made. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 829-830.)

Here, the Provision names "Sunlight Financial, LLC" among the lender's Related Parties and describes it as the entity "which has provided services to Lender and Contractor in connection with this Note." It defines a Claim to include a dispute between the borrower and a Related Party over "the arrangements between and among us, Sunlight and the Contractor," and it gives a Related Party sued on a Claim the election to demand arbitration once a lawsuit is filed. (Carpenter Decl., Ex. 2, at p. 13, subds. (b)(i)-(iii), (c)(i).) Plaintiffs' fraud, Consumer Legal Remedies Act, and Unfair Competition Law claims against Sunlight each rest on the allegation that it designed a lending program in which dealer fees were added to the system's price, concealed from the consumer, and billed to the borrower as part of the amount financed. (SAC, ¶¶ 62-68, 75, 95.) Accordingly, Sunlight is entitled to enforce the Arbitration Provision.

III. Rescission

Plaintiffs argue that they rescinded the Loan Agreement

under Civil Code section 1632 because all negotiations were conducted in Spanish and no Spanish translation was provided before execution, and that rescission extinguished the Arbitration Provision along with the rest of the contract. (Opp., at p. 11:15 - p. 12:8.)

The Provision divides these questions between the forums. It excludes from the definition of Claim any dispute “about the validity, enforceability, coverage or scope of this Provision or any part thereof,” and states that “all such disputes are for a court and not an arbitrator to decide.” (Carpenter Decl., Ex. 2, at p. 13, subd. (b)(ii).) The next sentence assigns the opposite category to the arbitrator: “any dispute or argument that concerns the validity or enforceability of this Note as a whole is for the arbitrator, not a court, to decide.” (Ibid.)

A claim that no contract was ever formed goes to the court. (Rosenthal, *supra*, 14 Cal.4th at p. 416.) A challenge to the container contract goes to the arbitrator. An arbitration provision is severable from the remainder of the contract, the validity of the contract is for the arbitrator in the first instance unless the challenge runs to the arbitration clause itself, and that rule governs in state as well as federal court. (Buckeye Check Cashing, Inc. v. Cardegna, *supra*, 546 U.S. at pp. 445-446.) The rule extends beyond fraud to any ground directed at the contract as a whole. (Id. at p. 444.)

Here, section 1632 gives an aggrieved consumer the right to “rescind the contract or agreement in the manner provided by this chapter.” (Civ. Code, § 1632, subd. (k)(1).) A right to rescind presupposes a contract to rescind. Plaintiffs’ section 1632 theory therefore attacks the continuing enforceability of the Loan Agreement as a whole, which is the category the parties assigned to the arbitrator.

Subdivision (j) provides that the Provision “shall survive ... any rescission or cancellation of this Note.” (Carpenter Decl., Ex. 2, at p. 14, subd. (j).) The parties agreed that rescission of the Note would leave the agreement to arbitrate in force, and the Court construes the clause accordingly. The Court expresses no view on the merits of the section 1632 claim.

IV. Unconscionability

Plaintiffs argue that the Arbitration Provision is

unenforceable because it is procedurally and substantively unconscionable. (Opp., at p. 13:20 - p. 17:4.) Disputes about the validity and enforceability of the Provision are excluded from the definition of Claim, and the Provision assigns them to a court. (Carpenter Decl., Ex. 2, at p. 13, subd. (b)(ii).)

Arbitration agreements are subject to the defense of unconscionability like any other contract. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113 (*Armendariz*).) Plaintiffs bear the burden of proving it. (*Pinnacle*, supra, 55 Cal.4th at p. 236.) Both a procedural and a substantive element must appear, though not in the same degree, because the court employs a sliding scale. Under that scale, “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz*, supra, 24 Cal.4th at p. 114.)

A. Procedural Unconscionability

Plaintiffs argue that the Loan Agreement is a contract of adhesion presented on a salesperson’s tablet during a Spanish-language negotiation, with no translation and no opportunity to review it. (Opp., at pp. 14:25-15:9.)

A contract of adhesion is a “standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Armendariz*, supra, 24 Cal.4th at p. 113.) A finding of procedural unconscionability is highly dependent on context. Where a solar salesperson presented an agreement on an electronic device, indicated where to sign without explaining the arbitration clause, and left the homeowners without a copy, the circumstances indicated oppression and surprise, supporting a high degree of procedural unconscionability. (*Cabatit v. Sunnova Energy Corp.* (2020) 60 Cal.App.5th 317, 323-324 (*Cabatit*).)

Here, the circumstances are materially the same. Plaintiffs declare that the salesperson had them sign on his tablet, said nothing about arbitration, and did not give them a copy or a Spanish translation. (*Guevara Decl.*, ¶¶ 3, 5-6; *Urbina Decl.*, ¶¶ 3, 5-6.) The Certificate of Completion corroborates that account. Mr. Urbina opened the envelope at 8:59:28 p.m. and

signed at 9:05:21 p.m. Ms. Guevara opened it at 9:07:50 p.m. and signed at 9:08:17 p.m. (Carpenter Decl., Ex. 3.) Twenty-seven seconds is no time in which to read a nineteen-page instrument. Plaintiffs declare that the documents were never displayed to them. (Guevara Decl., ¶ 3; Urbina Decl., ¶ 3.) Sunlight offers no evidence of the circumstances of the signing. Carpenter describes the platform's ordinary practice and his later review of the account documents, without claiming presence at the negotiation. (Carpenter Decl., ¶¶ 6-9, 15.) The Loan Agreement is a standardized form, and nothing in the record indicates that its terms were open to negotiation. The Court finds a high degree of procedural unconscionability.

B. Substantive Unconscionability

Plaintiffs identify two terms they contend are substantively unconscionable: (1) that the Loan Agreement obligates them to repay the full amount financed whether or not the system ever operates, and (2) that the Provision imposes a prelawsuit notice requirement that the consumer protection statutes do not. (Opp., at p. 16:17 - p. 17:2.)

Substantive unconscionability focuses on whether the terms of an agreement are overly harsh, unduly oppressive, or so one-sided as to shock the conscience. (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 910.)

1. Loan Terms

Here, Plaintiffs locate the repayment obligation in the Loan's terms rather than in the Arbitration Provision. (Opp., at p. 16:17-19.) "[A] party's challenge to another provision of the contract, or to the contract as a whole, does not prevent a court from enforcing a specific agreement to arbitrate," and a ground of unconscionability that reaches the whole contract may leave the agreement to arbitrate untouched. (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 70-71.) An unconscionable term elsewhere in the Note is an attack on the Note, and the parties assigned that question to the arbitrator.

2. Pre-Dispute Resolution Procedure

The pre-dispute resolution procedure requires a Complaining

Party, before asserting a Claim in any proceeding, to give the Defending Party at least thirty days' written notice explaining the claim and "a reasonable good faith opportunity to resolve the Claim on an individual basis without the necessity of a Proceeding." (Carpenter Decl., Ex. 2, at p. 14, subd. (k).) The term delays the commencement of a proceeding; it does not bar one, shorten a limitations period, or withdraw a remedy. Such a provision is not overly harsh, unduly oppressive, or so one-sided as to shock the conscience.

Plaintiffs have not established the substantive element, and procedural unconscionability alone will not justify refusing enforcement. (Armendariz, supra, 24 Cal.4th at p. 114.) The Court concludes that Plaintiffs have not met their burden of proving the Arbitration Provision unconscionable.

V. Discovery

Plaintiffs argue that they are entitled to discovery before the Court rules on the Motion, and they request a continuance of the hearing if the Motion is not denied. (Opp., at p. 17:23-26.)

Plaintiffs served written discovery on May 15, 2026, and Sunlight responded on June 16, 2026 with objections alone. (Valdez Decl., ¶¶ 3, 6, 9.) The requests include admissions on the genuineness of Sunlight's rate sheet and investor presentation, and requests addressed to the loan application and signing process. (Valdez Decl., ¶ 3; Opp., at p. 17:17-19.)

Here, the question is what a substantive response would add to evidence Plaintiffs already hold and have already submitted. Their challenge to the agreement's existence fails on the content of their own declarations, and no response from Sunlight would change what those declarations say. Their remaining defenses rest on the circumstances of the negotiation and the signing, and the Court has credited their account of those circumstances in full. The percipient witnesses to the negotiation and the signing are Plaintiffs and the salesperson, and Sunlight's declarant disclaims presence at either. (Carpenter Decl., ¶¶ 6-9, 15.) The requests addressed to the lending program, the rate sheet, and the dealer fees go to the merits of the fraud, Consumer Legal Remedies Act, and Unfair Competition Law claims, which the arbitrator will decide.

Plaintiffs do not identify a response that would alter the formation analysis or the construction of the Provision's terms. The request

for a continuance is denied. Accordingly, the Motion to Compel Arbitration is granted.

CONCLUSION

The Motion to Compel Arbitration is granted. The action is stayed as to Sunlight Financial LLC pending arbitration.